

Member ID: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING

(125)

NATIONALS 2022

CONCEPT KNOWLEDGE:

True/False (10 @ 2 points each) _____ (20 points)

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (13 @ 2 points each) _____ (26 points)

Job 1 – Calculating Unemployment Taxes (2 points each) _____ (22 points)

Job 2 – Journalizing Employer Payroll Tax (2 points each) _____ (24 points)

Job 3 – Completing a W-2 (2 points each) _____ (32 points)

TOTAL POINTS _____ **(154 points)**

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

True/False: For the following questions, mark “A” for True and “B” for False.

1. A pay period may be per diem.
A. True
B. False
2. An employee over the age of 18 must have a social security number.
A. True
B. False
3. Federal Income Tax is withheld from an employee’s earnings only in states that have a State Income Tax.
A. True
B. False
4. FICA tax is paid by both the employee and the employer.
A. True
B. False
5. The amount of FICA tax for each employee is figured based on an employee’s net pay.
A. True
B. False
6. FUTA and SUTA are paid entirely by an employee.
A. True
B. False
7. The total earnings column in a Payroll Register is debited to Cash.
A. True
B. False
8. A W-3 form must be received by an employee for each job worked by January 31.
A. True
B. False
9. The rate used for FUTA is greater than the rate used for SUTA.
A. True
B. False
10. The amount of Social Security & Medicare taxes paid by the employer is the same as the total withheld from employees.
A. True
B. False

Multiple Choice:

Identify the letter of the choice that *best* completes the statement or answers the question.

11. Which of the following payroll taxes does an employer not pay?
 - A. Federal Income Tax
 - B. Federal Unemployment Tax
 - C. Medicare Tax
 - D. Social Security Tax
12. Which of the following would you not find on a current W-4 form?
 - A. Employer name
 - B. Number of allowances
 - C. Social security number
 - D. Income tax filing method
13. What employee benefits must an employer offer to each of their employees?
 - A. Company car
 - B. Gym membership
 - C. On-site child care
 - D. None of these are required
14. When completing a Payroll Register, the debit should be journalized to which account?
 - A. Cash
 - B. Federal Income Tax Payable
 - C. Medicare Tax Payable
 - D. Salary Expense
15. What is the source document used in the journal entry to record the employer's portion of payroll taxes?
 - A. Check
 - B. Memorandum
 - C. Payroll register
 - D. Receipt
16. In order to determine if an employee's earnings exceeds the tax base for unemployment taxes, you will use the _____.
 - A. Employee Earnings Record
 - B. Form W-2
 - C. Form W-4
 - D. Payroll Register
17. The employer portion of payroll taxes for each of its employees is recorded as a debit to a(n) _____ account.
 - A. Asset
 - B. Expense
 - C. Liability
 - D. Revenue

18. The _____ requires overtime to be paid for any hours worked over 40 in a workweek at a rate of 1.5.
- A. Energy Employees Occupational Illness Compensation Program Act
 - B. Fair Labor Standards Act
 - C. Longshore and Harbor Workers' Compensation Act
 - D. Occupational Safety and Health Act
19. Which of the following methods of payment results in 24 payroll payments per year?
- A. Monthly
 - B. Semimonthly
 - C. Semiweekly
 - D. Weekly
20. Which of the following employees will have the most Federal Income Tax withheld from his/her check?
- A. Married worker without any dependents
 - B. Married worker with 1 dependent
 - C. Single worker without any dependents
 - D. Single worker with 1 dependent
21. The federal tax paid for hospital insurance is called _____.
- A. Federal Income
 - B. Medicare
 - C. Social Security
 - D. State Income
22. Which of the following taxes is not deducted once it reaches the tax base?
- A. Federal Income Tax
 - B. Medicare Tax
 - C. Social Security Tax
 - D. State Income Tax
23. Xuan worked 40 hours at \$9.00 per hour. She also worked 5 hours of overtime. What would be the total of Xuan's Social Security and Medicare withholding?
- A. \$30.98
 - B. \$46.47
 - C. \$32.71
 - D. \$27.54
24. Patrice clocked in for work at 7:57 a.m. and clocked out for lunch 12:33. She clocked in for the afternoon at 1:02 and left for the day at 5:17. How many hours did Patrice work for the day?
- A. 8 hours
 - B. 8.25 hours
 - C. 8.5 hours
 - D. 8.75 hours

25. A Form 941 should be completed every _____.

- A. month
- B. quarter
- C. week
- D. year

Short Answer: Answer the following questions and write the answer on the line provided. (13 @ 2 points each = 26 points)

26. Kensey receives a monthly salary of \$2,110.00. In addition to her salary, she receives a commission of \$655.00 on each car she sells. If she sold 6 cars during the month of July, what would her gross pay be for the month?

27. Alyssa works as a temporary employee in the front office. She is paid a per diem rate of \$175.34. She worked 24 days last month. What is Alyssa's gross pay for the month?

28. Brett assembles balloon displays for a local company. He is paid a piece-rate wage of \$14.12 for each balloon display he assembles over 12 in a regular work day. Calculate Brett's piece-rate wage.

Monday	Tuesday	Wednesday	Thursday	Friday	Saturday
24	27	19	27	31	15

Total Pay _____

29. Hayden is paid biweekly. He earns an annual salary of \$123,578. He receives overtime pay for any hours worked over 80 in a biweekly pay period. During the current pay period, Hayden has 12 hours of overtime. Calculate Hayden's pay for the biweekly pay period.

- a. Hourly Rate of Pay _____
- b. Overtime Rate of Pay _____
- c. Total Overtime Pay _____
- d. Gross Pay _____

30. Bao is weighing his options as to how he will be paid. Calculate the wages based on each payment method. The annual salary is \$43,791.00.

a. Monthly Salary	
b. Semimonthly	
c. Semiweekly	
d. Weekly	
e. Hourly Rate	
f. Overtime Rate	

Job 1: Calculating Unemployment Payroll Taxes (11 @ 2 points each = 22 points)

Calculate the amount of earnings subject to unemployment taxes. Unemployment taxes are owed on the first \$7,000.00 of earnings for each employee.

Employee	Accumulated Earnings, February 28	Total Earnings for March 1 – 15 Pay Period	Unemployment Taxable Earnings
Adamson, Jillian	4,187.74	2,093.87	
Barkly, Jordyn	2,547.50	1,273.75	
Davis, Neal	3,642.68	1,214.23	
Fisher, Emma	4,697.25	3,348.63	
Greaves, William	2,963.87	1,481.94	
	Totals		
Social Security Tax Payable Medicare Tax Payable Federal Unemployment Tax Payable State Unemployment Tax Payable			

Job 2: Journalizing Payroll & Unemployment Taxes (12 @ 2 points each = 24 points)

Use the information from Job 1 to create the journal entry for the employer's payroll taxes for March 1-15. Memorandum 157 was generated for this entry. Use March 15 for the date.

General Journal						Page 4
Date	Account Title	Doc. No.	Post. Ref.	Debit	Credit	

Job 3: Completing a W-2 (2 points per answer = 32 points)

Michael J. Brite works for Digital Solutions in Ohio. Use the partial Employee Earnings Record for Digital Solutions (EIN 20-1027060 & State ID 540687254) information to complete the W-2 for Michael. Michael's home address is 867 Commerce St., Columbus, Ohio 43214.

EARNINGS RECORD FOR THE QUARTER ENDED December 31, 2021

Employee No. 3

Employee Name

Michael J. Brite

Rate of Pay \$12.56 Per Hour

Social Security Number 123-45-6789

Pay Period		Earnings			Deductions					Net Pay	Accumulated Earnings
#	End	Regular	OT	Total	Federal Income Tax	State Income Tax	Social Security Tax	Medicare Tax	Total		
											2,025.00
Quarterly Totals		2,025.00		2,025.00	172.13	62.96	125.55	29.36	390.00	1,635.00	2,025.00

22222		Void ☐	a Employee's social security number		For Official Use Only ➤ OMB No. 1545-0008	
b Employer identification number (EIN)			1 Wages, tips, other compensation		2 Federal income tax withheld	
c Employer's name, address, and ZIP code			3 Social security wages		4 Social security tax withheld	
			5 Medicare wages and tips		6 Medicare tax withheld	
			7 Social security tips		8 Allocated tips	
d Control number			9 Verification code		10 Dependent care benefits	
e Employee's first name & initial		Last name	Suff.	11 Nonqualified plans		12a See instructions for box 12
f Employee's address and ZIP code			13 Statutory employee ☐	Retirement plan ☐	Third-party sick pay ☐	12b
			14 Other			12c
						12d
15 State	Employer's state ID number		16 State wages, tips, etc.	17 State income tax	18 Local wages, tips, etc.	19 Local income tax
						20 Locality name

Form **W-2** Wage and Tax Statement

2021

Copy A For Social Security Administration – Send this entire page with Form W-3 to the Social Security Administration; photocopies are not acceptable.

Department of the Treasury-Internal Revenue Service
For Privacy Act and Paperwork Reduction Act Notice, see the separate instructions.

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